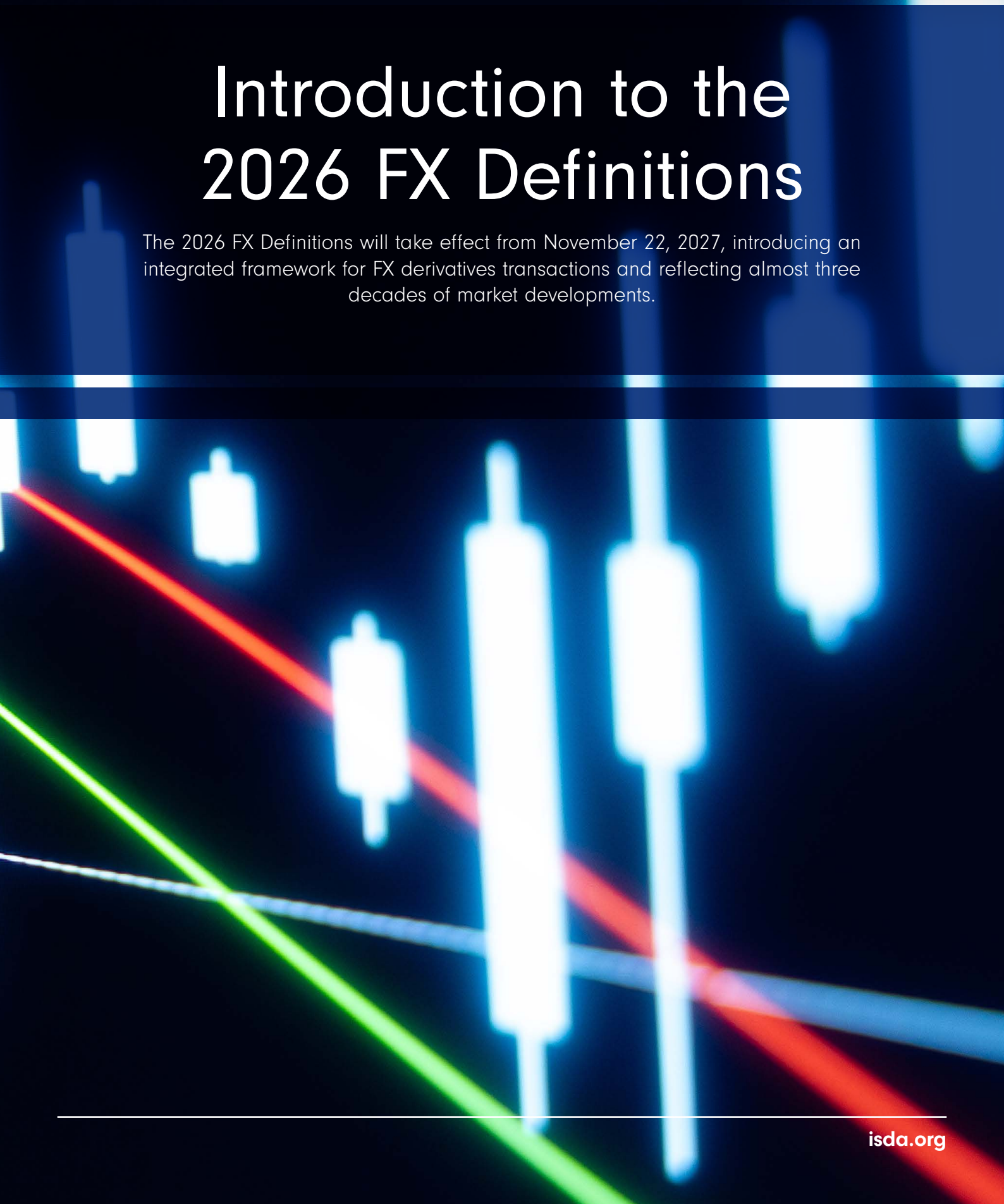
ISDA® Safe, Efficient Markets

Introduction to the 2026 FX Definitions

The 2026 FX Definitions will take effect from November 22, 2027, introducing an integrated framework for FX derivatives transactions and reflecting almost three decades of market developments.



Implementation

The 2026 FX Definitions were published by ISDA and EMTA, the trade association for emerging markets, on March 3, 2026, and are available on ISDA's MyLibrary platform[1]. They will replace the 1998 FX and Currency Option Definitions as the standard definitional booklet for all cleared FX derivatives and new non-cleared FX derivatives transactions from November 22, 2027.

Swift is no longer expected to support the 1998 definitions after this date, which means all FX transactions confirmed via Swift messages will incorporate the 2026 FX Definitions. Legacy non-cleared FX derivatives transactions will continue to reference the 1998 definitions until they roll over, unless counterparties agree bilaterally to incorporate the 2026 FX Definitions. However, it is expected that almost 80% of legacy FX derivatives transactions will be terminated or rolled into new positions referencing the 2026 FX Definitions by the end of 2028[2].

More information is available on the FX Definitions Update InfoHub[3] on the ISDA website.

Rationale for Update

The FX market has evolved significantly since 1998. Up until now, the terms for a particular transaction have typically been split across a fragmented documentation framework, including the 1998 definitions, additional provisions and supplements, EMTA template terms for non-deliverable transactions and bilateral master confirmation agreements (MCAs).

The 2026 FX Definitions reflect current market practices and consolidate relevant product templates and provisions published over the past 28 years without disrupting terms in the 1998 definitions that continue to serve the FX market. The 2026 FX Definitions have been developed so new versions can be published from time to time in response to future developments in the FX market. Market participants will be able to adopt and incorporate these new versions efficiently, avoiding the fragmentation that exists today.

Consolidation and Harmonization Updates

Integration of Emerging Market (EM) Provisions

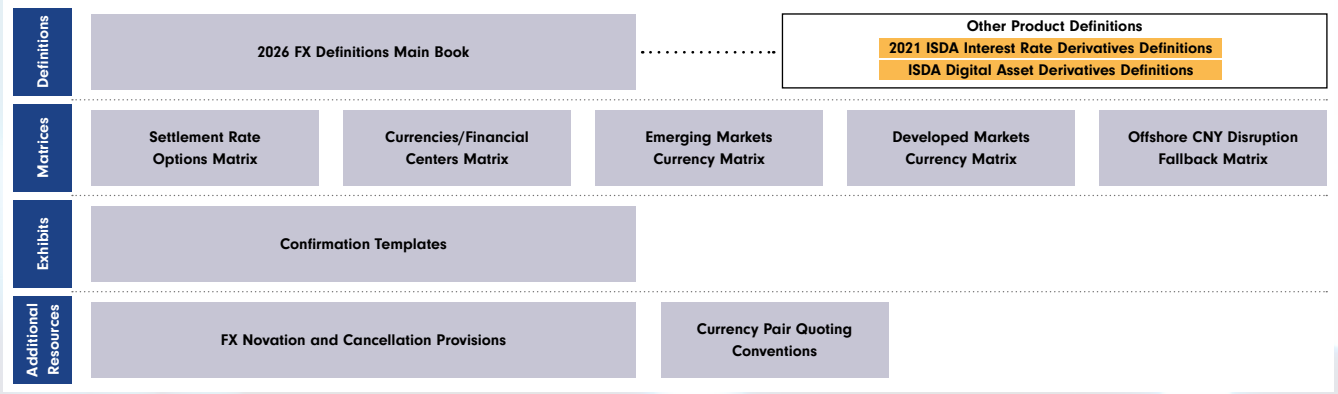
The 2026 FX Definitions include the EM currency matrix, which consolidates the existing EMTA and EMTA/Singapore Foreign Exchange Market Committee (SFEMC) template terms, including the settlement rate options, other currency-specific terms and applicable disruption events and disruption fallbacks within those template terms. The 2026 FX Definitions main book also contains provisions for cross-currency transactions and joint calculation agent dispute resolution language, both of which have historically been contained in MCAs for EM FX transactions, eliminating the need for these MCAs. In addition, the 2026 FX Definitions contain the substance of key EMTA market practice notes, making them part of the contractual framework for EM FX transactions.

Other Consolidation and Harmonization Updates

Incorporation of Supplements and Additional Provisions: The 2026 FX Definitions main book contains FX product supplements for barrier and binary option transactions, averaging transactions, variance/volatility/correlation swaps, forward volatility agreement transactions, optional early termination provisions, additional disruption events for offshore deliverable CNY transactions and provisions for developed market currencies.

MCA Provisions: The new definitions contain standard MCA provisions, eliminating the need for MCAs unless counterparties use

Architecture of the 2026 FX Definitions



1 www.isda.org/isda-solutions-infohub/mylibrary/

2 Semiannual data from the Bank for International Settlements (BIS) showed that 78.9% of outstanding FX derivatives notional had a remaining maturity of one year or less at the end of June 2025, 15.4% had a remaining maturity of between one and five years and 5.7% had a remaining maturity over five years. BIS OTC Derivatives Statistics, data.bis.org/topics/OTC_DER/tables-and-dashboards/BIS,DER_D9,1.0

3 www.isda.org/2024/02/22/fx-definitions-update-infohub/

them to negotiate bespoke provisions unique to their relationship or FX transactions.

Matrices: The 2026 FX Definitions include modular matrices with key reference data to simplify drafting and future updates.

Substantive Updates

Disruption Events and Fallbacks

Deliverable FX Transactions: Under the 2026 FX Definitions, three disruption events and corresponding disruption fallbacks apply automatically to deliverable FX transactions, whereas there were no automatically applicable disruption events under the 1998 definitions. These disruption events are:

- General settlement or conversion disruption, which applies if payment or conversion is impossible across FX market participants generally after a waiting period.
- Material change in circumstance, which applies if a force majeure event would prevent payment or delivery after a waiting period.
- Settlement system disruption, which applies if payment via the applicable settlement system (eg, Continuous Linked Settlement, known as CLS) is not possible on the relevant settlement date.

The 2026 FX Definitions also contain a fourth disruption event that counterparties can elect to apply – specific settlement or conversion disruption, which applies if payment or conversion is impossible for the relevant transaction(s), irrespective of whether market participants generally are affected.

The disruption fallbacks for deliverable FX transactions follow a flexible approach that allows for consideration of the facts and circumstances at the time of the disruption event. Other than for settlement system disruption, the disruption fallbacks first include a calculation agent determination of the settlement method, followed by no fault termination. Counterparties could alternatively elect to specify cash settlement as the applicable disruption fallback. For settlement system disruption, the calculation agent takes the rules of the applicable settlement system into account and either postpones settlement or the counterparties settle outside of the settlement system.

Non-deliverable FX transactions: Under the 2026 FX Definitions, price source disruption continues to apply automatically to non-deliverable FX transactions, other than non-deliverable FX transactions on developed market currency pairs. The definition of this event has been updated to ensure it is only triggered when the relevant rate is not available to market participants. The disruption fallbacks for non-deliverable FX transactions on EM currency pairs provide for valuation postponement and then, generally, a calculation agent determination of the settlement rate, with variations for certain currency pairs. These provisions are consistent with the disruption events and disruption fallbacks currently in the EMTA and EMTA/SFEMC template terms.

For any other non-deliverable transactions, the first fallback is to calculation agent determination of the settlement rate.

Offshore CNY FX Transactions

The 2026 FX Definitions incorporate specific provisions that apply if one of the currencies in an FX transaction is 'offshore CNY (CNH)' – ie, CNY traded and settled in offshore centers, such as Hong Kong and Singapore. These provisions are based on the additional disruption event provisions for an offshore deliverable CNY transaction that market participants currently use. The relevant disruption events and disruption fallbacks reflect the unique characteristics of offshore CNY (CNH) transactions, as distinct from CNY transactions traded onshore or on a cross-border basis.

Other Substantive Updates

Calculation Agent Standard: The calculation agent standards in the 2026 FX Definitions align with those in the 2021 ISDA Interest Rate Derivatives Definitions and bridge a gap between English and New York law in the existing standards. The calculation agent's duty is to act in "good faith using commercially reasonable procedures to produce a commercially reasonable result". The calculation agent will be responsible for all determinations that are not otherwise allocated to a party, with the exception that the calculation agent will not determine the occurrence of a disruption event.

Calendar Adjustment Event: A calendar adjustment event is a market event, unscheduled as of the trade date, that results in an additional non-business day and causes the term of an FX forward to increase by virtue of postponing the settlement date. The 2026 FX Definitions include optional methods the parties can elect to address economic discrepancies caused by such an event. Options include entering into an offsetting transaction or payment of an offsetting fee.

Business Day Terms: The 2026 FX Definitions consolidate business day definitions and conventions from various FX product supplements published since 1998. Business day for payment remains unchanged from the 1998 definitions, so it will continue to point to the holiday calendar in the principal financial center for the payment currency (or currencies). Business days for valuation and exercise in respect of deliverable transactions and non-deliverable transactions on developed market currencies now incorporate concepts of spot market business day and publication calendar day.

Full Automated Exercise: The 2026 FX Definitions introduce an alternative exercise mechanism for deliverable, European-style options called full automated exercise. When counterparties specify this term, it overrides automatic exercise, which remains the default exercise method in the 2026 FX Definitions. Full automated exercise relies on published rates (as opposed to the spot market) and removes manual intervention in the exercise/expiry process, including exercise notifications from buyers to sellers.



Disclaimer

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About ISDA

Since 1985, ISDA has worked to make the global derivatives markets safer and more efficient. Today, ISDA has over 1,000 member institutions from 78 countries. These members comprise a broad range of derivatives market participants, including corporations, investment managers, government and supranational entities, insurance companies, energy and commodities firms, and international and regional banks. In addition to market participants, members also include key components of the derivatives market infrastructure, such as exchanges, intermediaries, clearing houses and repositories, as well as law firms, accounting firms and other service providers.

Information about ISDA and its activities is available on the Association's website: www.isda.org. Follow us on LinkedIn and YouTube.